

Bridging the Innovation Gap Between Budapest and the Hungarian Countryside

Importance and relevance of the problem

The gap between Budapest and the rest of Hungary in innovation and economic growth is not only clear but also increasing. Most high-tech companies, research and development centers and international relations are concentrated in the capital, while rural areas are still largely dominated by agriculture and small-scale industrial production. As a result, people living in Budapest have far more opportunities, incomes, and access to knowledge than those in the countryside. And since the complexity of the economy – the ability to combine diverse types of knowledge and skills – is a key factor for sustainable growth, this gap threatens not only regional equality but also Hungary's overall competitiveness.

What we already know and how the problem is approached

Research shows that rural innovation networks in Hungary are often isolated and rely on top-down policies instead of real local collaboration (Fieldsend & Székely, 2021). Programs like rural digitalization and “smart villages” aim to improve connectivity, but many areas still lack of access to key knowledge networks (Gyarmati, 2019). As a result, cooperation between firms, researchers, and local governments remains weak, keeping innovation and economic complexity low outside Budapest.

Niche that needs better understanding and research question

What remains unclear is how local network structures—such as the links between firms, universities, and institutions—affect rural regions' progress toward more complex industries. The research question is: “How do connections between rural firms and Budapest-based or foreign actors influence the development of higher-complexity economic activities in Hungary's countryside?” This focuses on network relationships rather than funding or infrastructure, which are already well-studied.

Stakeholders and how they can benefit

The main stakeholders are regional governments, local entrepreneurs and investors. Regional and national authorities can use this research to design programs that build stronger links between rural businesses and Budapest's innovation ecosystem. Local firms can learn how to collaborate and exchange knowledge more effectively. Investors could identify underdeveloped but promising regions where better connections could unlock new opportunities.

References

- Fieldsend, A. F., & Székely, E. (2021). An assessment of the agricultural knowledge and innovation system in Hungary. EconBiz.
- Gyarmati, G. (2019). Innovation in the Rural Development with Hungarian Examples. Óbuda University.